Q11

Information asymmetries arise in the context of governance because directors have access to more information than shareholders. [1]

That can mean that shareholders are less capable of supervising the actions of their boards and of measuring their performance. [1]

For example, the annual report will give a clear indication of the company's position and performance, but it will not provide the shareholders with details of all of the decisions made by management or of every misjudgement. [1]

The directors can use that asymmetry to justify keeping their jobs or being paid a higher remuneration. [1]

The response may be that shareholders have to seek greater assurance, such as paying for a good quality external audit to reassure them of the quality of the information with which they have been provided. [1]

[Total 5]

Commentary:
This question was answered well by many candidates.

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